COMPANY RESEARCH REPORT

Accenture plc

NYSE: ACN | Global IT Services & Consulting

Financial year analysed: FY 2025 (ended August 31, 2025)

A research report covering the company profile, business model, financial performance, fundamental analysis, SWOT analysis, risks and investment considerations.

Important: This report is for educational purposes. Financial figures are based on Accenture's published FY25 (10-K/8-K) financial information. Check official filings and current market data before relying on this report for an investment decision.

1. Executive Summary

Accenture plc is an Ireland-headquartered, global professional services company that helps enterprises reinvent through strategy, consulting, technology, operations and AI-led services, delivered across three geographic markets and five industry groups.

For fiscal year 2025 (ended August 31, 2025), Accenture reported revenue of $69.7 billion, up 7% in both U.S. dollars and local currency. GAAP diluted earnings per share were $12.15, up 6% year over year, and adjusted diluted EPS was $12.93, up 8%. GAAP operating margin was 14.7%, down 10 basis points, while adjusted operating margin expanded 10 basis points to 15.6%.

Results show broad-based revenue growth, healthy free cash flow of $10.9 billion, and continued cash returns to shareholders, alongside a slightly lower reported GAAP operating margin driven in part by business optimization costs. A full investment assessment also requires valuation, cash-flow trends, business outlook and risk analysis.

2. Company Profile

Particular	Details
Company name	Accenture plc
NYSE symbol	ACN
Industry	Professional services — IT consulting, technology and outsourcing
Founded	1989 (as Andersen Consulting; renamed Accenture in 2001)
Headquarters	Dublin, Ireland
Chair and CEO	Julie Sweet (FY25 reporting period)
Employees	Approximately 779,000 (as of August 31, 2025)
Major markets	Global; Americas, EMEA and Asia Pacific
Financial year analysed	FY 2025 (September 1, 2024 – August 31, 2025)

3. Business Overview

A. Strategy and Consulting

Accenture advises clients on business and technology strategy, enterprise reinvention and digital transformation, helping organizations redesign processes and rebuild their "digital core."

B. Technology Services

The company designs, builds, implements and manages technology solutions, including cloud, data, engineering and application services, often generating long-term managed-services relationships.

C. Data and Artificial Intelligence

Accenture supports cloud migration, data platforms, analytics and generative-AI-led transformation. Generative AI new bookings reached $5.9 billion for FY25, reflecting rising client demand for AI-enabled reinvention.

D. Operations and Industry X

Managed services, business-process outsourcing and Industry X (digital manufacturing and engineering) round out the portfolio, delivered alongside Song, Accenture's marketing and experience-design business.

E. Global Delivery

These services are delivered through a global workforce serving more than 9,000 clients, including three-quarters of the Fortune Global 500, across Communications/Media/Technology, Financial Services, Health & Public Service, Products and Resources industry groups.

4. Financial Performance Analysis

The following consolidated figures are in U.S. dollars, based on Accenture's FY25 GAAP financial information.

Financial indicator	FY 2025	FY 2024	Year-on-year change
Revenue	$69.7 billion	~$64.9 billion	+7%
Operating income (GAAP)	$10.23 billion	~$9.6 billion	GAAP margin 14.7% (-10 bps)
Adjusted operating margin	15.6%	15.5%	+10 bps
Net income attributable to Accenture	$7.68 billion	$7.27 billion	+5.7%
Diluted EPS (GAAP)	$12.15	$11.44	+6%
Adjusted diluted EPS	$12.93	$11.95	+8%
Free cash flow	$10.9 billion	—	Company reported strong growth
Annual dividend per share	~$5.92 (quarterly $1.48)	~$5.16	+~15% (quarterly rate)

Interpretation

- Revenue: Grew 7% in both U.S. dollars and local currency, with growth broad-based across all three geographic markets.
- Operating margin: GAAP operating margin declined slightly to 14.7%, partly reflecting business optimization costs; the adjusted (non-GAAP) margin expanded to 15.6%.
- Net income and EPS: Net income attributable to Accenture rose 5.7%; GAAP diluted EPS rose 6% and adjusted diluted EPS rose 8%, reflecting higher revenue and a lower share count from buybacks.
- Cash generation: Accenture generated free cash flow of $10.9 billion and returned cash to shareholders through $3.7 billion in dividends and $4.6 billion in share repurchases.

- Bookings: New bookings totaled $80.6 billion for the year, including a record 129 quarterly bookings above $100 million, an indicator of future revenue conversion.

Note: FY25 GAAP results include business optimization costs of $489 million (net of tax), which reduced diluted EPS by $0.78. Refer to Accenture's Form 10-K for the detailed reconciliation to adjusted figures.

5. Fundamental Analysis

Factor	Analysis
Revenue model	Fee-based consulting and managed-services contracts with global enterprise and government clients
Profitability	FY25 GAAP operating margin 14.7%; adjusted operating margin 15.6%; net income grew 5.7%
Cash generation	FY25 free cash flow reported at $10.9 billion
Balance-sheet liquidity	Total cash balance strengthened through the year; regular quarterly dividends and buybacks
Bookings momentum	New bookings of $80.6 billion, including $5.9 billion of generative-AI bookings
Geographic exposure	Americas ~50%, EMEA ~35%, Asia Pacific ~15% of FY25 revenue
Key sensitivity	Client discretionary technology spending, wage and utilization costs, and pricing in a competitive market

Key ratios and what they mean

- Price-to-earnings (P/E): Market price per share divided by earnings per share; relates valuation to reported earnings.
- Operating margin: Operating income as a percentage of revenue; shows how much profit is generated per dollar of revenue.
- Free cash flow: Operating cash flow less capital expenditure; indicates cash available after reinvestment.
- Revenue growth: Change in sales over time; should be read together with margin and bookings trends.

A current valuation conclusion requires a current share price, current earnings expectations and comparison with relevant peers. This report does not assign a target price.

6. SWOT Analysis

Category	Analysis
Strengths	Leading global brand in IT consulting; broad, diversified service portfolio; deep Fortune Global 500 relationships; strong bookings and free cash flow.
Weaknesses	Reliance on skilled, high-cost talent; margin sensitivity to wage inflation, utilization and business optimization costs.
Opportunities	Continued enterprise demand for cloud, data, cybersecurity, and generative-AI-led reinvention; expansion of existing client relationships.
Threats	Global economic slowdown and delayed client spending; intense competition from global and boutique firms; rapid technology change; currency and regulatory risk.

This SWOT analysis is an analytical summary, not a company-issued rating.

7. Major Risks

- Client spending risk: Enterprises may delay or scale back discretionary technology and consulting projects in uncertain economic conditions.
- Competition and pricing: Global systems integrators, offshore providers, boutique AI firms and in-house teams compete for the same contracts.
- Talent risk: Recruiting, retaining, training and redeploying a large global workforce is central to service quality and cost control.

- Technology disruption: Generative AI and automation can create new service lines while also changing demand and pricing for traditional services.
- Currency risk: A large global, multi-currency business means exchange-rate movements can affect reported U.S.-dollar results.
- Regulatory and geopolitical risk: Data-privacy rules, immigration policy and cross-border restrictions can affect delivery models and costs.

8. Growth Prospects

- Continued enterprise adoption of generative AI, cloud, data and cybersecurity services, building on FY25's $5.9 billion of AI-related bookings.
- Expansion of consulting and reinvention work within existing large clients.
- Conversion of large-deal bookings (a record 129 quarterly deals above $100 million in FY25) into future revenue.
- Productivity gains from automation and internal delivery-process improvements.
- Continued investment in workforce skills — FY25 included $1.0 billion in learning and development and $1.5 billion in strategic acquisitions.

These opportunities depend on client budgets, project execution, competitive positioning and Accenture's ability to sustain profitable growth.

9. Investment Considerations

Accenture reported FY25 revenue growth of 7% and net-income growth of 5.7%, with adjusted diluted EPS growth of 8%. GAAP operating margin was slightly lower year over year. Investors evaluating the company may consider the following factors:

Investment factor	What to examine
Valuation	Current P/E, expected earnings growth and peer valuations (e.g., other global IT services firms)
Growth quality	Revenue growth, large-deal bookings conversion, and generative-AI-related demand
Profitability	GAAP vs. adjusted operating margin, business optimization costs, and utilization
Cash generation	Free cash flow, capital expenditure, dividends and share repurchases
Risk exposure	Geographic and currency mix, competitive intensity, and AI-driven change to service demand

Research conclusion

Accenture is a large, globally diversified professional-services company with meaningful exposure to enterprise technology and AI-led transformation spending. FY25 results showed higher revenue, net income and adjusted EPS, alongside a modestly lower GAAP operating margin. A decision about the shares should also account for current valuation, future growth expectations, competitive dynamics and the investor's own time horizon.

10. Sources and References

- Accenture Form 10-K, fiscal year 2025 (SEC filing).
- Accenture Q4 & Full-Year Fiscal 2025 Earnings Release (Form 8-K), September 25, 2025.
- Accenture FY2025 Annual Report to Shareholders (Form ARS).
- Accenture Q4/FY25 Earnings Presentation, Investor Relations.

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